European Commission -
Speech

Speech by President von der Leyen at the European Parliament plenary ahead of the European Council of 23 October 2025

Strasbourg, 22 October 2025

Thank you, Madam President, dear Roberta,

Madam Minister,

Honourable Members,

One topic of the European Council will be defence. We discussed it two weeks ago here, in this hemicycle, and we discussed it at the informal meeting of the leaders in Copenhagen a few weeks ago. We listened to you, we listened to the leaders. This all went into the Readiness Roadmap 2030. Therefore, the HR/VP and I will present our new Defence Readiness Roadmap to this European Council. We will also discuss, as we have done here two weeks ago, the Reparations Loan for Ukraine. But today, I would like to focus on another topic that will be at the centre of tomorrow's European Council: The issue of competitiveness and decarbonisation.

Let me start by observing simple facts. Globally, the clean transition is in full swing. Last year, more than 580 gigawatts in renewable energy capacity were added globally – a new record for the third year in a row. Clean tech markets around the world are booming. The global market for batteries is expected to double in size over the next five years. The global market for wind turbines continues to rise by over 10% every year. And in developing economies across Asia, Africa and Latin America, last year the sales of electric cars have risen by 60%. This is not just good news for the climate. The rise of clean tech in Europe is also good news for our energy security and a great economic opportunity. There is a reason why China is massively investing in EVs, batteries and clean tech. They of course see the economic opportunity, and they see what the future markets will be. There is a reason why in the Middle East, the global home of fossil fuels, renewables increased fivefold in the last five years. The Middle East is dominant on the energy market today, and they tell me they want to be dominant in the energy markets in the future. There is a reason why the Global South is choosing clean energy. They want to get rid of choking dependencies and bring in energy that is not just clean but also homegrown and affordable for them. So the question for us is whether we want to reap the benefits of this global clean tech boom or just let others profit from it.

I have not the slightest doubt about the answer. Europe is a global leader in clean innovation. For instance, 40% of all wind technology companies worldwide are here in the European Union. We have a very skilled workforce and a long tradition of industrial primacy. Last year, Europe's clean tech exports have reached EUR 80 billion. This means they have almost tripled in just six years. But others are not sleeping. China exports almost twice as much clean tech as we do. And this risks pushing our industries out of strategic markets – including our own. We cannot afford to fall into new and dangerous dependencies. In recent years, we have all witnessed what happens when a single country gains control over the supply of a critical product or technology. At any moment, those dependencies can be turned into instruments of pressure. Export restrictions can be imposed overnight. Supply routes can be disrupted. And factories here in Europe can be forced to slow down or even shut down. So I think we should be very clear and very vigilant. Europe must control the technologies that will shape our future, the manufacturing that underpins our prosperity and the critical raw materials. We should also be very clear in the determination that no country should hold the ability to undermine our economic security. It is important for me to address this here in the hemicycle. Because in the coming days, I will also engage very closely with European leaders and international partners, as a crisis in the supply of critical raw materials is no longer a distant risk. It is on our doorstep. We have already taken important steps. But now, we must accelerate decisively and urgently. We need faster, more reliable supply of critical raw materials, both here in Europe and with trusted partners. I will be ready to propose further measures to ensure Europe's economic security and I will accelerate what we have

already put in motion. So to be very clear among us: Europe must be in control of strategic clean technologies and manufacturing. Because clean tech is not just a tool for cutting emissions – it is key to our competitiveness and key to the independence of the European Union, and we really have to fight for it.

This is why we must refocus on supporting clean products that are made here in Europe. As the International Energy Agency reminds us, there is a cautionary tale that we must not forget. It is the story of our solar industry at the beginning of this century. Europe was the global leader in solar. But heavily subsidised Chinese competitors started to outprice Europe's young industry. And today China controls 90% of the global market. This time, we should learn our lesson. Let me quickly address three ways of doing so. First, we will introduce a "made in Europe" criteria for public procurement in certain strategic sectors. Public procurement in Europe amounts to 14% of the European GDP. This is massive financial firepower – controlled by European governments. And we should make better use of it – to create stable demand for clean, made-in-Europe products.

Second, we should ensure that new foreign investments in our industry are truly in Europe's interest. These investments are much needed. But they should create good jobs here for European workers and they should add value to Europeans right here in the European Union – not just for others.

Third, we will step up support for some strategic sectors. For instance, with a Battery Booster to support production in Europe. And with a new set of initiatives for the automotive sector, we will send a clear political signal to these industries. That is: You are critical to Europe's future. And your future will be made in Europe. That is critical for us.

Honourable Members,

A final point on competitiveness. We all know that high energy prices continue to put a strain on our competitiveness. And we all know the main reason for that. It is our dependency on imported fossil fuels, and therefore our dependency on a volatile global market. Just look at the data across Europe. The lowest prices for energy are in countries that produce abundant low-carbon energy – be it solar, wind, hydropower, geothermal or nuclear. So the way ahead is clear. We must continue to invest in homegrown clean energy. But besides our dependency on fossil fuels, there are also other reasons that prevent energy prices from going down. We have to look at these causes too. We have for example to improve our energy infrastructure. We will come with a Grids Package and the new Energy Highways initiative. And you know that we reviewed the rules for Cohesion. Cohesion funding can also be invested for grids and interconnectors to improve the energy situation in the European Union. This requires action at the European level – and we are on it.

But, another action is required at Member State level. Yesterday, the Commission presented a set of new, concrete actions to cut energy bills in Europe. Let me just give you one example, that is taxes. While energy costs are going down, taxes on energy are going back up. Look at the taxes our industries pay on electricity, they are 15 times higher than taxes on gas. This cannot be. Or let me give you two other figures: if you look at energy bills on average for our industry in the European Union, 34% of those bills is taxes. And if you look at the energy bills of household on average in the European Union, 42% of those bills are taxes. So let us work together to bring these taxes down, and to allow businesses and households to switch to using domestically-produced electricity, rather than imported fuels.

To be clear: I know of course that Europe will continue to use oil and gas for years to come as a basis without any question. But that will never be a source of advantage for Europe's industry, or its consumers, or our planet. And with that in mind, we will also propose to cooperate to speed up permitting, and to make full use of our State Aid rules and of course of our Cohesion Funds. But our industries and household cannot wait longer. They need affordable energy in this difficult geoeconomic climate – and they need it now.

Honourable Members,

Competitiveness has been the central focus of my Commission from day one. But our competitiveness agenda needs every one of us. Governments and industry. Member States and European institutions. We all need the political will to move forward together, because inaction is simply not an option. We all need faster decisions, because the clean industrial race will only get faster. The choice is clear. We can either stand still, and fall behind. Or we can build the jobs of the future – right here in Europe. Let us make it happen together. Thank you, and long live Europe**.**

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